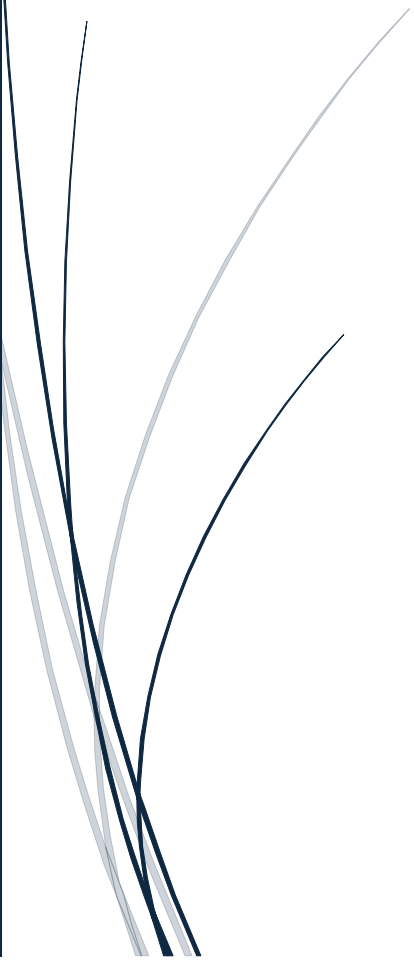




OROMIA WATER UTILITIES FEDERATION STRATEGIC PLAN OF OWUF 2026-2030

10/22/2025

Strategic Alignment and Focus Areas for OWUF



OWUF STUDY TEAM
OROMIA WATER UTILITIES FEDERATION

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The Oromia Water Utilities Federation (OWUF) wishes to express its sincere appreciation to all individuals and institutions whose contributions made the development of this Strategic Plan (2026–2030) possible. The preparation of this document was guided by a participatory and consultative process that brought together diverse stakeholders committed to strengthening water and sanitation service delivery across Oromia.

OWUF extends its gratitude to the Oromia Water and Energy Bureau (OWEB) and the Ministry of Water and Energy (MoWE) for their strategic guidance, policy direction, and continued support throughout the planning process. Special appreciation is also extended to the OWUF Executive Committee Board and management team for their leadership, oversight, and commitment to ensuring that the Strategic Plan aligns with national priorities and sector reforms.

The Federation gratefully acknowledges the active participation and valuable inputs of member Water Service Providers, whose experiences, challenges, and aspirations shaped the strategic direction and practical focus of this Plan. OWUF also recognizes the important contributions of development partners, particularly VEI, WWX and other cooperating institutions, for their technical support, knowledge sharing, and sustained partnership in advancing sector capacity.

Finally, OWUF appreciates the dedication of the study team, consultants, and staff who worked diligently to analyze sector realities, engage stakeholders, and translate shared priorities into a clear and actionable Strategic Plan. Their collective efforts have laid a strong foundation for the successful implementation of this Plan and for achieving sustainable, inclusive, and resilient water services for the people of Oromia.

FOREWORD

On behalf of the Executive Committee Board of the Oromia Water Utilities Federation (OWUF), it is our honor to present the OWUF Strategic Plan for the period 2026–2030. This Strategic Plan marks an important milestone in the Federation’s continued effort to strengthen water utilities, improve service delivery, and contribute meaningfully to the realization of universal access to safe and reliable water and sanitation services in Oromia.

The Plan has been developed in line with the Federation’s legal mandate under Proclamation No. 228/2020 and is fully aligned with national and regional development priorities, including the Ministry of Water and Energy Strategic Plan, the Sustainable Development Goals, particularly SDG 6, and Africa Agenda 2063. It reflects a clear understanding of the opportunities and challenges facing the water sector, including rapid urbanization, climate change, financial sustainability constraints, and the need for stronger institutional and technical capacity.

The Board commends the inclusive and consultative approach undertaken during the development of this Strategic Plan, which involved member utilities, government institutions, development partners, and sector professionals. The resulting framework provides a clear strategic direction focused on capacity development, member engagement, communication, and advocacy, supported by robust implementation, monitoring, and resource mobilization mechanisms.

The Executive Committee Board remains fully committed to providing strategic leadership, oversight, and good governance throughout the implementation of this Plan. We call upon all stakeholders, member utilities, government partners, development partners, and the wider water sector community, to work collaboratively with OWUF to translate this Strategy into tangible and sustainable results that improve public health, resilience, and the quality of life of our communities.

On Behalf of Executive Committee Board of OWUF

EXECUTIVE SUMMARY

The Strategic Plan for Oromia Water Utility Federation (OWUF) has been developed in cognizance of its mandate as stipulated in Proclamation No. 228/2020, Part Five, Potable Water and Sewage Services Federation; the Strategic Plan of MOWE 2030; the Constitution of Ethiopia; Africa Agenda 2063¹; Sustainable Development Goals and other prevailing legal and policy documents.

Chapter One of the Strategic Plan presents the historical development of the Federation. It also provides the institutional framework which expounds on the mandate of the Federation. The chapter further outlines the role of the Federation in the realization of the national development agenda: Strategic Plan of MOWE and OWEB, SDGs and Africa 2063 aspirations.

Chapter Two expounds on the situational and environmental analyses undertaken using the Strengths, Weaknesses, Opportunities and Threats (SWOT) and Political, Economic, Social-Cultural, Technological, Environmental and Legal (PESTEL) models. A stakeholder analysis was undertaken to identify the key stakeholders, their expectations and Federation's expectations.

Chapter Three presents the Strategy Model of OWUF, which includes the Vision, Mission, Core Values and Strategic issues, Key Result Areas and Strategic Objectives and Strategies. The three Key Result Areas are:

- a) **KRA 1:** Federational Capacity Development
- b) **KRA 2:** Members Engagement and Development
- c) **KRA 3:** Communication and Advocacy

These will be achieved through the following strategic objectives;

- a) To enhance the capacity of the Federation for effective service delivery to members
- b) To support member organizations and build their capacity for provision of services.
- c) To strengthen corporate communication

Chapter Four provides the strategic intent of OWUF which includes the Vision, Mission, Core Values, Key Results Areas, Strategic Objectives and Strategies. It also stipulates the implementation framework and outlines key strategies which will be utilized by the Federation to ensure effective implementation of the Strategic Plan.

Chapter Five provides the strategic focus of OWUF which includes, Key Results Areas, Strategic Objectives and Strategies. The Federation has identified three (3) **Key Result Areas (KRAs)** in which implementation will be carried out, performance measured and results communicated or reported.

Chapter Six demonstrates the how Revenue funding for services and capital funding for developments and recurrent expenditure are likely to change. OWUF have put in place strategies to search for diverse funding streams therefore increasingly important, as it call for active fundraising and income generation strategies. The Total Budget from the members contribution is over the coming 5 years is 45.5 Million Birr.

¹ <https://au.int/en/agenda2063/overview>

ABBREVIATIONS AND ACCRONYMS

AFWASA	-	Africa Water and Sanitation Association
BA	-	Bachelor of Art
BSc	-	Bachelor of Science
CEO	-	Chief Executive Officer
EAC	-	East African Countries
ECB	-	Executive Committee Board
GIS	-	Geographic Information System
GWOPA	-	Global Water Operators' Partnership Alliance
IWA	-	International Water Association
ICT	-	Information Communication Technology
KPI	-	Key Performance Indicators
KRA	-	Key Result Area
Kshs.	-	Kenya Shillings
M&E	-	Monitoring and Evaluation
MDAs	-	Ministries, Departments and Agencies
MOH	-	Ministry of Health
MoU	-	Memorandum of Understanding
MOWE	-	Ministry of Water and Energy
M&E	-	Monitoring and Evaluation
MSc	-	Master of Science
NRW	-	Non Revenue Water
OWEB	-	Oromia Water and Energy Bureau
OWF	-	Oromia Water Fund
OWUF	-	Oromia Water Utilities Federation
PhD	-	Doctor of Philosophy
RGs	-	Regional Governments
SCADA	-	Supervisory Control And Data Acquisition
SWOT	-	Strength Weakness Opportunity and Threats
UN	-	United Nations
VEI BV	-	VEI Dutch Water Operators
WHO	-	World Health organization
WRA	-	Water Resources Association
WRDF	-	Water Resource Development Fund
WSPs	-	Water Services Providers

CHAPTER ONE: INTRODUCTION

This Chapter presents the background and mandate of OWUF. It also provides the functions of OWUF, Legal and policy frameworks relevant to OWUF, rationale for development of the Strategic Plan, the process of developing the Strategic Plan as well as OWUF's role in national, regional and international agenda.

1.1 Background

The overall purpose and role of OWUF is Promoting cooperation among Water Utilities as key stakeholders; Protect and promote the members' common interests and raising awareness. This places the Water Providers/Suppliers at the leading edge to consolidate the knowledge and share experiences. OWUF was formed by the Water Services Providers/suppliers to provide a forum for the various companies to learn from each other. OWUF plays a key role in the water sector due to her elaborate network and coordinating role of WSP's, advocacy with the Oromia Water and Energy Bureau (OWEB) and Ministry Of Water and Energy (MoWE) and other actors in the water sector.

1.2 Mandate of OWUF

1.2.1. According to proclamation 228/2020 article 34; Power and Duties of Federation shall have the following power and duties:

- 1) Work with concerned body for the matters beyond the power of Union or Organizations to be resolved;
- 2) Coordinate the Organizations and Union which are its members to work in collaboration and uniform manner by pursuing the existing water and sewage policy direction;
- 3) Work for the existence of a healthy interconnection and solid work relationship between the organizations and stakeholders union;
- 4) Causes for the establishment of joint procurement system to enable the inputs used for producing and expanding potable water be purchased in a standard way; Perform procurement in collaboration with the concerned body;
- 5) Work with the concerned body for the Organizations and Unions to be the beneficiaries of right of tax exemption; facilitates condition;
- 6) Cause the dispute that arise among members of the Federation to be resolved in collaboration with concerned bodies;
- 7) Provide necessary advice to the members of Federation; represent the members based on their question and conduct litigation in cases where they face problem beyond their capacity;
- 8) Initiate ideas for the issuance of various laws and manuals and submit to the Bureau with a view to modernize the potable water and sewage services provision system;

- 9) Work with the concerned bodies for resolving the problem of potable water and sewage services supply and provision of the region by preparing the strategic plan of the Federation;
- 10) Seek for ways of acquiring financial or technical assistances and prepare and implement works that make the Federation successful;
- 11) Engage in and perform works of factories and machineries or potable water and sewage construction works that can generate income with a view to avoid the problems of potable water supply and sewage disposal services;
- 12) Perform formulation of work experiences within the country and from foreign countries and work to build the work performances of the Federation and its members; Facilitate conditions for trainings to be provided;
- 13) Cause the Organizations, Associations and Unions found at each hierarchy to have various forums and meetings;
- 14) Perform other tasks essential for the attainment of its objectives.

In addition to the above duties OWUF does the following activities:-

- a) Provision of technical assistance to WSPs;
- b) Capacity building programs for WSPs;
- c) Networking and Advocacy for WSPs;
- d) Industry insights & analysis for WSPs; and
- e) Forum for Linkage with partners & development Partners.

1.3 The Core functions of the Federation

As its core value, the function and responsibilities of the federation are the following activities:-

- Strong supports to all members of utilities in terms of capacity building.
- Financial strengthen its capacity from its members and/or partners.
- Consult and strengthen the utilities.
- Advocate for water resources, safe and sustainable water supplies at regional and national level.
- Advocate for clean and safe environment, continuous to be safe living place for nationals as enshrined in the Constitution.
- Collect and share knowledge on water and sanitation works through workshops and any other possible means/
- Create volunteering opportunities for financial and technical supports to the needs urban water supply and all rural WSP
- Work hard in hand share some technical burdens from the bureau for best and enhanced service delivery.
- Grow and create its own future environment where it would be nationally and internationally recognized in technical, engineering, managerial and consultancy promotional services.

- Cooperate with all stakeholders which are service providers for societies.
- Foster responsive commercialization of water and sanitation services delivery in Oromia, Ethiopia;
- Promote sustainable management and development of water and sanitation infrastructure;
- Stimulate and promote best practices and standards in development, management and delivery of water and sanitation services in Oromia, Ethiopia;
- Promote information and experience sharing through establishment of a data bank for information relevant to members, study tours, networking and participation in national and international events;
- Advise members on training needs in collaboration with other actors and help establish staffing norms relevant to the sector; and
- Support members in acquisition of funds for developments.

1.4 Rationale for Development of this Strategic Plan 2025/26-2030

The development of this Strategic Plan is informed by the need to:

A. Strategic Direction and Alignment

1. Provide the strategic direction for the period 2025/26–2030.
2. Align OWUF’s strategic goals with national, regional, and international development agendas, including Ethiopia’s Water Sector Policy, SDG 6, Africa Water Vision 2025, and the 10-Year National Development Plan.
3. Provide an overall framework for prioritization and resource allocation, ensuring efficient use of financial, human, and technical resources.

B. Core Utility Management Areas

4. Strengthen Water and Sewerage Service Operation and Maintenance Management, ensuring efficiency, reliability, and sustainability.
5. Implement a Non-Revenue Water (NRW) Reduction Program focused on leak detection, metering accuracy, and loss prevention.
6. Develop a Water Materials and Equipment Supply Plan to ensure timely availability and local sourcing of critical supplies.
7. Enhance Water Engineering Management, promoting design standards, technical supervision, and innovation in water projects.
8. Improve Financial, Billing, and Human Resource Management systems to support transparent, cost-recoverable, and performance-based operations.
9. Establish a transparent and effective Procurement Plan aligned with national and donor standards.
10. Promote Technology Engagement and Change Management, including the adoption of SCADA, GIS, and digital billing systems.

C. Capacity Building and Knowledge Exchange

11. Facilitate Experience Sharing and Peer Learning among utilities through workshops, field visits, and case studies.
12. Strengthen local capacity building initiatives to enhance staff competence and institutional performance.
13. Build the capacity of each member utility to conduct needs assessments, identify challenges, and design practical solutions.
14. Encourage consultancy and research collaborations with local universities and partners to improve technical and managerial performance.
15. Promote inter-sectoral, regional, national, and international collaboration networks for learning and technical exchange.

D. Service Expansion and Customer Focus

16. Focus on serving unreached communities, ensuring equitable access to safe water and sanitation services.
17. Strive to enable utilities to meet current and future water and sanitation demand through planning and investment mobilization.
18. Ensure utilities provide comprehensive, demand-driven services that meet customer expectations and willingness to pay.
19. Facilitate cost recovery policies and principles to enhance financial sustainability.
20. Support the formation and strengthening of Water Users Associations for improved community participation and accountability.

E. Institutional Development and Innovation

21. Foster the availability of innovative technologies, research, and education for upgrading utility operations.
22. Establish achievable performance targets and effective monitoring systems to track progress.
23. Improve coordination mechanisms for planned operation and maintenance activities across utilities.
24. Strengthen institutional capacity building through targeted technical assistance and mentorship.
25. Explore opportunities for locally manufacturing essential water sector technologies such as water meters, treatment chemicals, pipes, fittings, billing software, and laboratory equipment.
26. Investigate the possibility of acquiring or being donated modern drilling and maintenance equipment for urban and rural utilities to ensure year-round operation.

F. Climate and Environmental Sustainability

27. Integrate climate resilience and environmental protection principles into all utility operations.

28. Support the use of modern operation systems such as SCADA and automated control to enhance efficiency and reduce water loss.
29. Promote sustainable water resource management through catchment protection, IWRM, and conservation programs.
30. Strengthen data-driven decision-making for water production, distribution, and energy efficiency.

1.5 Process of Developing this Strategic Plan

The Strategic Plan was developed through a consultative and participatory approach that ensured involvement of all key stakeholders namely; Board of Directors, Management of OWEB, Staff, VEI BV and other stakeholders. The review was undertaken through a process involving the following stages:

- a. Initiated by OWEB and WSPs
- b. Desk review of OWUF's relevant documents;
- c. Development of a working document;
- d. Interactive workshop with Board and Strategic Plan Development team;
- e. Presentation of draft Strategic Plan to internal and external stakeholders;
- f. Presentation of draft Strategic Plan to the Board for approval and adoption; and
- g. Presentation of Final Draft - Strategic Plan 2025/26-2030
- h. Finalize OWUF's Final Draft - Strategic Plan 2025/26-2030 in the presence of all stakeholders

1.6 Key Policy and Legal Documents Relevant to OWUF

The advisors reviewed the following documents to inform the development of this Strategic Plan:-

- a. The association solely understands the principle that: the human to water is indispensable for leading a life in a human dignity and the united nation general assembly explicitly recognized the human right to water and sanitation.
- b. In line with above contextual facts, the government of Ethiopia has made a remarkable progress in the water and sanitation sector based on the legal basis of the UN declaration since it has used the right to water and already ensuring in the 1994 Ethiopian constitution². The article 90 of this "To the extent the country's resources permit, policies shall aim to provide all Ethiopians access to public health and education, clean water, housing, food and social security"
- c. Megeleta Oromia, Proclamation number 228/2020 and Directive number 222/2021
- d. Strategic Plan of MOWE 2030;

² https://www.constituteproject.org/constitution/Ethiopia_1994

- e. Ethiopian water sector development policy/strategy³
- f. UN Agenda for Sustainability Development Goals (SDGs);
- g. East Africa Community Vision 2050⁴;
- h. Africa Agenda 2063 for Development;
- i. Constitution of Oromia Proclamation number 199/2008 article 26 establishment of Oromia

1.7 OWUF Compliance with the Constitution

Under Schedule IV of the Constitution water and sanitation is a shared function, distributed between The National and The Regional Governments [Cont. of Oromia Proclamation No. 199/2008]. Water Service Providers (WSPs) are the Region Asset Developers and Water Service Providers. The Act sets institutions for management of the Water sector.

Table 1.1 below indicates institutions relevant to OWUF mandate and service provision:

Table 1. 1: Institutions relevant to OWUF mandate

Institution	Role of the Sector
Ministry of Water and Energy (MOWE)	- Water and Sanitation Parent ministry that sets policy to guide and direct the provision of water services and Sanitation.
Oromia Water and Energy Bureau (OWEB)	- The Water Services Regulatory Board is responsible overseeing the implementation of policies and strategies relating to provision of water and sanitation services. - For regulating water, sewerage and sanitation services provision including issuing licenses, setting service standards monitor and enforce compliance and guidelines for tariffs and prices and providing mechanisms for handling complaints. - Mandated to safeguard the right to clean water by ensuring that there is proper regulation of the management and use of water resources, in order to ensure sufficient water for everyone in the region
Regional Governments	- The Regional Governments have Federation to establish Water Service Providers (WSPs) in compliance with standards of commercial viability set. The RGs work closely with Actors in the Environment; Energy; Water and Sanitation and Health Institutions.
Oromia Water Fund (OWF)	- Mobilize financial resources from private sector investors, Utilities and Customers of the utilities for lending and granting to WSPs and to promote research on water services and water resources

³ <https://www.waterethiopia.org/wp-content/uploads/2014/03/ETHIOPIAN-WATER-SECTOR-STRATEGY.pdf>

⁴ https://www.foreign.go.tz/uploads/eac_vision_2050-_web.pdf

Water Resource Development Fund (WRDF)	- Mobilize financial resources from donors and lending institutions for lending to water utilities in Ethiopia.
Water Service Providers (WSPs)	- Allocation of water in a sustainable, rational and economical way - Provide water and Sewerage services and hold the regional or national water public assets on behalf of the public
Ethiopia Climate Change Nationally Determined Contribution 2021⁵	- Provide a regulatory framework for enhanced response to climate change and measures to achieve low carbon climate development. - Provides for incorporating climate change adaptation and mitigation in all sectors, including water by implementing the National Climate Change Action Plan. - The Act establishes the Climate Change Fund, which is a financing mechanism for priority climate change actions and interventions
Ministry of Health MOH	- The shared SDG 6 on water and sanitation, where MOH lead in sanitation; necessitates close collaboration with OWUF for: - Information and Coordinated sanitation Efforts

1.8 Role of OWUF in National, Regional, Local Institutions

Ten Year Strategic Plan of MOWE⁶ outlined several priority areas that every successive government has focused during their planning period. Proclamation no. 228/2020 outlines the role of OWUF in Oromia, MOWE Strategic plan 2030, the East Africa community, the African Union Agenda 2063 and the United Nations Agenda for Sustainable Development [SDGs].

1.8.1 Alignment to MOWIE's Ten Year Strategic Plan

This strategic plan is aligned with the goals set in the ten year strategic plan set by MOWE; in particularly mentioned as an opportunity to use the Federation to implement and strengthen the plans set for 2030.

OWUF has identified relevant focus areas and activities in line with MOWE SP 2021-2030; Proclamation no. 228/2020 which have been incorporated in this Strategic Plan. The focus areas are explained in Table 1.2 below.

⁵ https://unfccc.int/sites/default/files/NDC/2022-06/Ethiopia%27s%20updated%20NDC%20JULY%202021%20Submission_.pdf

⁶ <https://faolex.fao.org/docs/pdf/eth180677.pdf>

Table 1. 2: OWUF's Role

No	Focus areas	Role of OWUF
1.	Foster commercialization of water and sanitation service delivery	- Advocacy on policies, governance and resources management of sustainability of WSPs
2.	Promote sustainable production, use and disposal of water and sanitation	- Build capacity of WSPs and advocate for sustainable production, usage and disposal Water and waste water -
3.	Promote best practices, in service delivery in water and sanitation sector	- Benchmarking for better practices and information sharing - Build capacity for knowledge/skill/technology transfer - Development of guidelines for WSPs standardization
4.	Promote information and experience sharing	- Establishing data bank for information relevant to WSPs, - Build Capacity of WSPs and networking; engage in Sectorial; regional, National and International Events
5.	Partner and Linkages	- Link and enhance WSPs in partnerships with other to enable efficiency in WSPs service Delivery
6.	Support members in Resources Mobilization	- Link WSPs with relevant Development Partners and Institutions for funding of programmes - Organize resources for supply and procurement of water related goods - Maintenance of electro mechanical and related services
7.	Manufacturing and supply of water and sanitation related goods	- Promotion of water elated goods to the WSP's - Manufacturing of water meters, chemicals, etc. -

1.9 Sustainable Development Goals (SDGs)

The Government of Ethiopia is committed to the attainment of the United Nations Sustainable Developments Goals (SDGs) as agreed upon by the international community. In assessing SDGs based on the latest data and estimates UN highlighted the existing gaps in water resource management. It urged the world to redouble its efforts, using immense potential in the utilization of available technologies and knowledge: Mobilize resources from a variety of sources through enhanced development cooperation to provide adequate and predictable means, to implement programmes and policies in water and sanitation sector.

There are a total of 17 SDGs which aim to enhance the quality of life of the world's citizens. Each goal has a specific target to be achieved over a period of 15 years and most of SDGs are intertwined as they address the political, economic, social and environmental dimensions of development in a comprehensive and integrated manner. OWUF has

focused on the following SDGs in this strategic plan to be able achieve her mandate and objectives: -

Table 1. 3: OWUF's Role in SDG's

No.	SDGs Goal	Role of OWUF
1	Goal 6: Clean Water and Sanitation	- Fostering commercialization of Water and Sanitation - Enhance capacity of WSPs: to provide adequate and equitable water and sanitation services - Reduction of water pollution - Through availability of Technology to treat, recycle, re-use and safe disposal of water Enhance capacity of WSPs to protect, restore water-related ecosystems
2	Goals 12: Responsible Consumption and Production	- Promoting sustainable management of production, usage and water-waste through capacity building programmes - Build capacities, link and advocate for sustainable means in production, usage and waste management of water
3	Goals 13: Climate Action	- of Water and Sanitation management for production and renewable energy purposes
4	Goal 14: Life Below Water	- Build the capacity of WSPs in conservation, promotion of marine diversity and enhancing management of marine water.
5	Goals 15: Life and Land	- Building capacity of WSPs in reversing man-made deforestation and desertification to sustain life
6	Goals 17: Partnership for Programmes	- Mobilizing resources capacities for WSPs through linkages and information and experience exposures - Expand international co-operations and capacity build support programmes in water and Sanitation
7	Goal 5: Achieve gender equality and empower all women and girls.	- Promote gender equality and guidelines among the members and on international events

1.10 Africa Agenda 2063

Agenda 2063 is Africa's long-term vision to achieve the collective aspirations of the continent, "The Africa We Want". It is a strategic framework for the socio-economic transformation of the continent over the next 50 years. OWUF has incorporated 8 of the relevant water areas especially in Monitoring, tracking and reporting and also building capacity in water and sanitation service delivery

The role of OWUF in the realization of the aspirations and flagship projects in the Water and Sanitation Sector is provided in table 1.4 below.

Table 1. 4: OWUF's Role in Africa Agenda 2063

No.	Programme	Role of OWUF
1.	Well educated citizens and skills revolution underpinned by science, technology and innovation	- Capacity Building on new incoming technology and innovation in water and sanitation sector - Platforms for bringing together and knowledge sharing e.g. benchmarking - Skill development on technologies NRW and Meter specifications - Transfer of knowledge/technology - Conferences and bringing together skills and technology
2.	Modern agriculture for increased production, productivity and value addition contributes to farmer and national prosperity and Africa's collective food security;	- Adaptation of policies and practices in climate change focus - Conserve the environment and maintenance of climate resilient economies and communities - Building resilience of the ecosystems through blue economy through participation in forum for Ecosystem management - Value Chain Addition: Sustainability of practices and programs in Water Waste Disposal

CHAPTER TWO: SITUATIONAL ANALYSIS

2.0 Overview

In analyzing the situation OWUF was able to identify the Strengths, Weaknesses, Opportunities and Threats [SWOT], both internal and external that would impact on its service delivery. It was also able to define the scope of issues to be addressed in this strategic plan.

2.1 Review of the backgrounds of OUWF

The strategic work plan of the Oromia Urban Water Supply and Sewerage Service Enterprises Federation (OWUF) is established in line with Proclamation No. 228/2020, which mandates the formation of associations aimed at strengthening the capacity building of Urban Water Supply and Sewerage Service Enterprises and organizing beneficiaries with shared interests.

The Federation, formerly known as the Oromia Water Enterprise Association, was founded following the National Urban Water and Sanitation Forum, which originated from discussions held at the Welkite Water Supply and Sanitation Enterprise Office. The idea, which first emerged during the annual national forum in Welkite town, was later transformed into action with the first official forum meeting hosted by the Harari Water and Sanitation Authority on April 17, 2009 (E.C. 17/04/2001).

The Federation was legally registered by the Oromia Bureau of Works and Social Affairs on Meskerem 25, 2009 (E.C.), and officially licensed by the Oromia Justice Bureau under notice No. 321/159 (WB/03-0530/11). The organization was also issued Tax Identification Number (TIN) 0055401768 under the title “Supply of Water and Disposal of Wastewater.”

As an active member of the National Urban Water and Sanitation Forum, the Federation has played a significant role in promoting knowledge exchange and sectoral collaboration. It has successfully hosted major national forums, including:

- The 5th National Urban Water Supply Forum in 2005 E.C., held at the Abba Geda Conference Centre in Adama City, attended by numerous urban water utilities and relevant stakeholders;
- The 10th National Forum in November 2016, organized by the Bishoftu Water Supply and Sewerage Service Enterprise at the Adulala Resort, which was a vibrant and productive event; and
- The 15th National Forum, hosted by the Ambo-Guder Urban Water Supply and Sewerage Service Enterprise in Ambo town, at the Ambo Ethiopia Hotel, with participation from senior officials and ministry representatives.

Through these initiatives, OWUF has demonstrated its commitment to advancing collaboration, professional development, and the overall performance of urban water utilities across Oromia and beyond.

2.2 Key Achievements and Challenges

Despite the remarkable achievement substantial challenges were experienced that have been considered addressed in preparation of this strategic plan. Lessons learnt have also been incorporated in the development of this strategic plan.

a) Federation Capacity development

Strategic Objective Area 1: To enhance the capacity of the Federation for effective service delivery to members

b) Member engagement and development

Strategic Objective Area 2: To support member organizations and develop their capacity for provision of services

c) Communication and advocacy

Strategic Objective Area 3: To raise the Federation's profile and advance members' interests

Table 2. 1: Key achievements and challenges

No	Strategic Result Areas	Achievements	Challenges
1.	Organizational Capacity Development	- Office rents and full-fill of office equipment - Enhanced office facility - Capacity of utilities for various staffs underwent trainings and acquired knowledge - Enhancement of managerial motivation - Resource mobilization surpassed the projected target that was set	- Revenue collection from utilities - Strengthen governance and committees - Institutionalize Monitoring, Evaluation and Reporting - Strengthen the Audit function - Inadequate capacity in implementing and developing resource mobilization strategy and a monitoring, evaluation and reporting

2.	Members Engagement and Development	- All especial towns, 1st, 2nd some 3rd, 4th and 5th level utilities are a member's of OWUF - Strengthening linkages, partnerships and collaborations - Enhancing they have been contributing their part - Developing capacity building held by different scholars	- Linkages in policy areas - Strengthening existing donor partnerships - Full Training programme for members - Effects of pandemic that slowed down trainings - Donor withdrawal due to change of US foreign policy
3.	Communication And Advocacy	- Awareness creation among members = 75% - Enhancing Members' events - Policy and Legal and legal advocacy = 70% - Advocacy on operation issues = 50% - Representation in associated organizations bodies	- Development of advocacy strategy - Development and implementation of branding manual - Participation in exhibitions and open - day for WSPs - World Water Week not held - Bi annual conference and exhibition – 50% - Inadequate resources - Inadequate internal capacity for action

2.3 Lessons Learnt and Interventions in this Strategic Plan

Key lesson learnt is that there is prudence in leveraging and defining concrete measurable targets for five-year time frames to possibly coincide with political terms of office especially because it impacts heavily on members. OWUF will strategically engage with all policy makers and institutions that can impact on WSPs and other members and inversely impact OWUFs programs

The key lessons learnt have been incorporated in the development of this new strategic plan's Key lessons and strategies developed for this strategic plan are outlined in table below.

Table 2. 2: Lessons and Strategies for this Strategic Plan

No	Key Result Area	Lessons learnt	Interventions/Strategies
1.	Organizational Capacity Development	- Need for structuring programmes and the organization capacity to achieve objectives - -Need to diversify partnerships and collaboration - -Need to intensify visibility through an integrated system - Importance of constant partner engagement feedback as they connect OWUF to others - Need to have priority areas in budgeting - Importance of enhancing - Documentation and increasing publication area	- OWUF has developed strategies to enhance priority areas - Developed strategies for linkages and remapping of partners - Developing a communication strategy to enhance OWUF visibility - Rebranding of OWUF to incorporate new emerging areas of concern - To enhance partnership engagement and developed strategy to stay connected through continued and constant review - To continue building internal capacity in the areas of need
2.	Members Engagements and Development	- Involve office structure for connection - Self-sustainability of members important - Diversification of programmes to include emerging issue and leverage on funding - Enhancing collaboration with all actors in water sector - Early development of training calendar for proper planning - Use of Internet to enhance trainings - Constantly engagement in trainings needs to leverage on new technology.	- Build capacity of key stakeholders including County Governments - Develop and disseminate OWUF calendar - Conduct annual needs analysis to keep abreast of needs of members - Identify and engage other relevant partners - Diversify programmes to include new emerging areas - Enhance documentation - Enhance linkages to members - Enhance adoption of innovation and technologies & Enhance members award system

3.	Communi cation and Advocacy	- Increase the level of awareness on role of the Federation. - Enhance awareness on member roles - Lobby for harmonization multiple levies and taxes - Enhance Public consultation on regulation, standards and guidelines. - Improve on the corporate branding and visibility	- Develop a communication strategy - Conduct internal customer perception survey Strategy to engage in media for visibility - Frequent upgrade/uptake ICT as an integral strategy of OWUF - Operationalize engagement with the government for Amendment Bills/approval of sanitation Act - Conduct customer perception survey
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2.4 Internal and External Environmental Scanning

2.4.1 Strengths, Weaknesses, Opportunities and Threats (SWOT) Analysis

An internal and external analysis of the OWUF's environment was undertaken to provide information on how it impacts on its operations. The internal environment has analyzed the strengths and weaknesses while the external environment has provided the opportunities that are available and the threats that may inhibit success.

Strengths

Table 2. 3: Strengths

No	Strength	Strategic Implication	Strategic Response
1.	The Federation's Legal Mandate	Comparative advantage to focus on strategic issues	Ability to influence in policy decision makers institutions
2.	Recognition by institutions in the water sector	- Platform to advocate for members. - Provide necessary strategic link to technology/innovation and material. - Enhances the Federation knowledge base - Enhances mobilization of resources	Leverage on the ability to lobby and articulate on member issues
3.	The sole Federation representing Water Services Provider Members	- Strong linkages with local and international stakeholders - Give competitive advantage to attract diversified partnership	- Build linkages - Capitalize on the goodwill to strengthen the corporate image

4.	Highly-skilled and competent staff	Tap on the competences of staff creativity and innovation	- Fulfill the mandate of the Federation - Strengthen OWUFs internal branding
5.	Diversity in membership and associates	Tap on knowledge of the diversity from member	Mainstream the knowledge in successive implementing of mandate of the Federation
6.	Existence of programs for Benchmarking, networking and sharing of experiences	- Enhance peer learning - Continuous knowledge transfer	- Improve service delivery in WSPs - Tap on current and emerging trends

Weaknesses

Table 2. 4: Weaknesses

No	Weakness	Strategic Implication	Strategic Response
1.	Inadequate financial resources	Limits the Federations ability to fulfill the mandate	Diversification of revenue streams and resource mobilization from members
2.	Inadequate systems, operational policies and procedures	Inefficiency and ineffective management of operations	- Put in place and implement relevant policies and operational systems - Ensure there is up to date operational and procedure manuals
3.	Inadequate organizational staff development plans	- Limits Federations capacity - Demotivate staff - Poor service delivery - Stagnation of Federations	- Develop pro-engagement of employees - Implement the relevant employee development policies
4.	Inadequate sensitization of the stakeholders on the existence and mandate of OWUF	Loss of goodwill	Continuous engagement and sensitization of stakeholders

5.	Inadequate staffing	Inadequate implementation of programs	Structure and Recruit new staff and build existing staff capacity
6.	Inadequate visibility and branding	Loss of goodwill Decrease in membership	Develop a communication strategy and re-branding of OWUF

Opportunities

Table 2. 5: Opportunities

No	Opportunity	Strategic Implication	Strategic Response
1.	- Ability to influence policy and legislation in the water sector	- Effective representation of the members	- Lobbying for enactment of legal and policy guidelines
2.	- Water Acts, Proclamation, A facilitative institutional Framework	- Clear definition of roles of the Water Institutions	- Align to the policy framework
3.	- Strategic alliances and partnerships with relevant bodies,	- Enhanced resources - Increase service delivery to stakeholders - Growth of the Federation	- Enhance research and innovation capacity - Increased service to members - Diverse solution to existing and emerging challenges
4.	- Positive image amongst WSPs	- Trust and good working relations - Good will from the members	- Strengthen the relations with WSPs
5.	- Access to a wide range of experts	- Improve competency on service delivery for OWUF members	- Harness and tap on the expertise - More collaboration with experts
6.	- Potential membership base	- Gives relevance to OWUF and opportunity for growth	- Enhance OWUF visibility - Increase service range - Membership retention strategies

7.	- Willingness by donors to support the Federation	- Ability of OWUF to fund projects and programs	- Develop donor and partners engagement strategies - Create good relationship with the existing donors and partners - Constant recognition of the partners - Documentation and Reporting of donor activities
8.	- Availability of automatic tariff adjustments	- Reduction of revenue generation	- Enhance advocacy for the right tariff - Create awareness among the Utilities to have automation of tariff.
9.	- Availability of commercial finance	- Ability and expand the capacity to fund - programs and activities	- Fast track transfer of assets of the Utilities to WSPs for creditworthiness.
10.	- Existence of relevant institutions in the water sector supportive of the OWUF Mandate	- Lose of goodwill - Disharmony and none coordination of activities	- Enhance continued collaboration - Involve the key stakeholders and institutions in OWUF programs - See more institutional linkages

Threats

Table 2. 6: Threats

No	Threats	Strategic Implication	Strategic Response
1.	Harmonized taxation regime	- Late remittance of subscriptions - Impacts financial management planning	- Continued advocacy for sustainable tariff o for your members.
2.	Conflicting legislations impacting levies in the water sector	- Impact on financial planning of the Federation	- Advocating harmonized policies - Continued advocacy among the institutions for harmonized levies on the members
3.	Political interference	- Change in government focus	- Aligning OWUF programmes to the Focus
4.	Other complementary	- Impact on service delivery	- More sensitization of all water actors

	water providers		
5.	Changes in donor priorities	- Impact Financial planning - Impact on programs support	- Continuous donor mapping - Continue linking with new donors
6.	High donor dependency ratio; Poor coordination amongst partners	- Impacts on programs and service delivery	- Build sustainability of OWUF - Build synergies with the existing donors - Proper reporting - Maintaining relationship

2.4.2 External Environmental Scan (PESTEL Analysis)

In order to appreciate the environment under which the OWUF operates, an analysis of external environment was undertaken. It focused on the political, environmental, social, technological, economical and legal factors. The following are the highlights:

Political factors

Table 2. 7: Political factors

No	Political factor	Strategic Implication	Strategic Response
1.	- Security problem /political instability	- The security environment is going through major changes that are bound to impact on OWUFs mandate:	- OWUF has aligned her strategies and planning to those of current government OWUF will manage relationships for political goodwill
2.	- Political interference with service delivery	- Likelihood of political interferences; misunderstanding of the role of county governments WSPs mandates are of interest in this strategic plan	- OWUF has developed strategies for linkages to tap of the policy framework and also leveraging on political stability for implementation this strategic plan
3.	- Global and national policies and standards	- Access to more knowledge and policy implication for service delivery	- Align to the global, National trends - Continuous collaboration; - engagement and participation in policy developing

Economic factors

Table 2. 8: Economic factors

No	Economic factor	Strategic Implication	Strategic Response
1.	Inflation affecting purchasing power	- Impact revenue resource base	- Develop measures to cushion - OWUF against harsh inflationary gaps
2.	Low financing priorities to water services provision	- Impact revenue resource base	- Build capacity of WSP on financial sustainability
3.	International development co-operations	- Reduction in financial support - Disruption of planned activities	- Diversify sources of funding - Vibrant international donor pool to be exploited by OWUF

Social-Cultural factors

Table 2. 9: Social-Cultural factors

No	Social-Cultural factor	Strategic Implication	Strategic Response
1.	- Rural/urban) migration and population growth levels	- Straining on the water and Sanitation infrastructure and impact on service delivery	- Build capacity in WSPs - Advocate for investment in infrastructural development
2.	- Corruption	- This may deny OWUF projected revenues	- Build technical and financial capacity of WSPs
3.	- Cultural belief that water is a free resource.	- Wastage of water by the public due to low awareness levels on importance of conserving water	- Build capacity of WSPs on water and waste water management - Encourage WSPs to create more awareness on water systems process within their jurisdictions - Advocacy for inclusion on water programs in Curriculums of schools

Technological factors

Table 2. 10: Technological factors

No	Technological factor	Strategic Implication	Strategic Response
1.	- Emerging new technology	- Increased work efficiency. - Increased demand for ICT - Enhanced access of key services by stakeholders	- Upgrade systems in line with emerging ICT technologies. - Increase budgetary allocation towards ICT. - Continuous ICT Capacity building for all staff and stakeholders - OWUF will assess its internal
2.	- ICT capacity	- Inadequate human capacity to implement innovations in the water sector - Slow adoption of ICT	- ICT capacities and capabilities. - OWUF will create linkages and networking for WSPs to enhance use of ICT technology - Encourage WSPs to adapt appropriate and environmentally sound Technologies

Environmental factors

Table 2. 11: Environmental factors

No	Environmental factor	Strategic Implication	Strategic Response
1.	- Climate change	- Inability of SDG No.6 requirements - overexploitation of water sources	- Collaborate with other stakeholders on Climate adaptation initiatives
2.	- Environmental pollution and - Ecological degradation	- requirements for renewable energy and other requirements	- Partner with WSPs and other partners on pollution initiatives - Collaborate on carbon - Credit transactions
3.	- Global and National policies on environment	- Ecological Factors - Environmental laws by Ethiopia - OWUF activities	- Active participation in forums for policy development - Align to the global and national policies on Environment

Legal factors

Table 2. 12: Legal factors

No	Legal factor	Strategic Implication	Strategic Response
1.	- Dynamic global environment affecting in water sector e.g. global warming, blue economy	- Impact on OWUF mandate	- Put in place viable linkages for development of fair policies in water and sanitation sectors and on protection and - preservation of the environment
2.	- Disharmony of legislation in water and sanitation management	- Impact on OWUF mandate	- Adopting national and international policies

2.5 Stakeholder analysis

OWUF works closely with stakeholders in management of water. These cut across government, private sectors, civil society organizations and the general public.

Table 2. 13: Stakeholder Analysis

Stakeholder category	Role/Functions of the stakeholder	Stakeholder's expectations from OWUF	OWUF expectations
National Government	- Development of Sector policy - Coordination and legislating - Institutions for an enabling environment.	- Compliance with legislation as the set policies - Platform for reaching WSPs	- Build awareness of the prevailing legislation's - Collaborative approach to planning and decision making - Incorporate broad range of stakeholders across all relevant governmental departments, as well as industry representatives, environmental groups, and community
Water Service Providers	- Provision of water and sanitation services	- Lobby and advocate on issues pertaining to WSPS interests - Build WSPs capacity for service delivery - Link, network and benchmark with institutions of value - Prompt reporting on emerging issues	- Adhere to evidence based researched advocacy - Enhance, benchmark and train WSPS
Development partners	- Critical in terms providing funding and technical expertise to improve sector performance - Provide information	- Prudent usage of funds - Successful implementation of projects - Honor partnership agreements - Give feedback/ Accountability - Develop creative and innovative programs	- Effective use of resources; Successful implementation and sustainability of projects - Comprehensive and timely reporting; - Effective project implementation and reporting

Research and Training institutions	- Produce research and informational resources on water and sanitation	- They enhance OWUF ability to innovate in new and emerging areas. - Assist OWUF build capacity of WSPs - Data information for effective decision making and better practices - Support better exchange of information, - Support development of Water Sector and better practices	- Collaborate with Institutions for support in Technical and information areas - Document on emerging trends and practices
Public Civil Society	- Enhance transparency and good governance by contributing to public issues through WSPs - Supporting greater transparency of public revenues	- Support OWUF in providing information - Report of burst pipes and NRW issues and other issues related to the consumers	- Building strong relationships with local stakeholders - Develop programs for buy-in and participation to sustain water issues in the sector
Regional Governments	- Improved sector performance - Information & Standards - Mutual collaborations and partnerships	- Support the county initiatives on water and sanitation issues - Continue creation of forums for engagement with RGs	- More engagement and more conference with RGs participation
Global/ National Water Federations	- Provide Benchmarking and peer reviews forums - Provide Information; - Enhance Capacity building	- Public health also depends on safe water, sanitation, and good hygiene	- Collaboration with the Global Network on Technology and innovation management of Water and Sanitation
Media	- Visibility of OWUF - Disseminate information to OWUF stakeholders	- Dissemination of accurate and timely information on relevant information	- To be fair and accurate in reporting on issues matters

OWUF Board	- Provide Strategic Direction - Governance/ institutional management - Mobilize resources - Appointment of the CEO	- Efficient management of resources, - Effective/efficient service delivery - Good corporate image	- Implementation of Strategic plan - Provide good Leadership - Oversight of OWUFs assets
OWUF Staff	- Day to day running and implementation of programs, projects and activities of OWUF	- Competitive reward and compensation - Career development and progression	- Offer adequate compensation - Build capacity for service delivery - Provide conducive work environment
Supplies Consultants, Services/ Providers/ Hotels	- Provide OWUF with different kind of services	- Business opportunities - Fairness in business engagements - Timely payments for goods, works and services provided	- Provide platform to market their products and services fairly
Global policy institutions like Africa Vision 2063, EAC Vision; SDGs & other platforms	- Provide policy/focus framework under which OWUF will perform and achieve her mandate	- Mobilize action on water and sanitation issues - Seek active participation on forums for decision-making - Engage with relevant institutions for expertise in addressing challenges	- Engagement of water & sanitation expertise - Strategic advisory function for climate change, health & sustainability of ecology, - Initiate projects/ programs in areas of impact for WSPs

CHAPTER THREE: STRATEGIC DIRECTION

3.0 Overview

This chapter provides the strategic intent of OWUF which includes the Vision, Mission, Core Values, Key Results Areas, Strategic Objectives and Strategies. It also stipulates the implementation framework and outlines key strategies which will be utilized by the Federation to ensure effective implementation of the Strategic Plan. In addition, the responsibilities for implementation have been outlined to enhance accountability. The chapter further presents the Federation's organizational structure and functions of the various departments and units.

3.1 Vision, Mission and Core Values

The core values are important to maintain alignment, strategic direction, organizational identity, effective communication, and accountability within OWUF in the next five years.

3.1.1 Vision

The Federation envisions all water utilities becoming fully capacitated and self-sustaining, achieving cost recovery while providing reliable and sufficient water supply.

It aims to modernize service delivery through standardized and sustainable facilities, ensuring improved productivity, public health, and the well-being of all citizens.

3.1.2 Mission

The Federation is committed to creating an enabling environment for water service providers by strengthening capacity, fostering partnerships, promoting best practices, and advocating for effective sector policies.

It strives to support all regional water utilities in becoming strong, viable, and sustainable institutions capable of delivering safe, reliable, and affordable water and sanitation services. Through competent human resources and the application of appropriate technologies, the Federation aims to ensure efficient, customer-focused service delivery that meets the needs of all communities.

Briefly the mission of OWUF is ***to empower water utilities through capacity building, partnerships, and innovation, enabling them to deliver safe, reliable, and sustainable water and sanitation services for all communities.***

3.1.3 Core Values

The following core values define expected standards of behavior and culture of the Federation:

a) **Collaboration:**

- Collaborate effectively with members and partners to achieve tangible results in the water sector.

- Uphold and align all activities with the guiding principles of the Bureau.
- Foster openness to change and promote continuous improvement in technical and professional practices.
- Engage all stakeholders through participatory problem-solving and partnership approaches.
- Protect public health by supporting the provision of clean water, improving sanitation, and expanding services to all communities.
- Promote environmental safety and sustainable living standards through advocacy, knowledge sharing, and the delivery of reliable water and sanitation services.

b) Integrity: The Federation will undertake its programs and activities in an accountable, honest, transparent impartial manner and respect cultural and principles of the society in the water supply

c) Good Corporate Governance: We will embrace and practice the principles of Good Corporate Governance by putting in place policies, systems, and

operational procedures that facilitate efficient, prudent and optimal utilization of resources;

d) Learning: The Federation will be a learning organization that continuously embraces change to facilitate innovation and creativity that provide opportunities for discovery and exchange of ideas among members and partners; and Provision of adequate consultancy of service to all utilities. Facilitates for extending of technical innovations.

e) Rights: We will strive to support members to progressively realize the right of Ethiopians' access to safe and reliable water and sanitation services.

3.2 Governance structure

The Executive committee board provides leadership and governance structures to the operations of OWUF; which is institutionalized through the development and implementation of Good Governance systems. The ECB adheres to a Code of Ethics in particular mandated to: -

- a) Provide leadership in the management of the Company whilst articulating the goals of OWUF and planning how these goals will be achieved.
- b) Ensure the integration of good Corporate Governance at all levels of OWUF.
- c) Provide guidance to management on policy development and compliance thereof in identified key result areas.
- d) Approve organizational structure and appropriate staffing levels.
- e) Monitor and evaluate performance against strategic plan, budgets and performance contracts
- f) Encourage collaborative networks with stakeholders

g) Ensure compliance with statutory and regulatory frameworks and propose mechanisms for continued improvements.

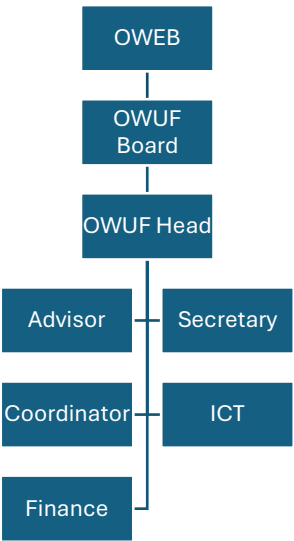
3.3 Staffing Levels

The Federation has currently 5 employees against the required. To effectively implement the Strategic Plan, recruitment of optimal human resource capacity will be given priority.

The proposed staffing level for the next five years is provided in table 4.1 below.

Table 3. 1: Proposed staffing for OWUF

No.	Description	Qualification & specialization	Experience	Required
1	Chief Executive Officer (CEO)	BA, BSc, MBA, MSC, PhD	5 years in utility manager or related company	1
2	Coordinator	BSc, MSC, in any engineering	Minimum 5 Years in utility or related company	1
3	Advisor	BSc, MSC, in any engineering	Minimum 5 Years in utility or related company	1
4	Accountant/finance	BA/MBA and above in related finance	3 years in accounting and finance	1
5	ICT/Data manager	BSc and above in ICT, Computer related	3-Years in ICT and Computer related	1
6	Secretary	BA/BSC in secretary and computer science	2-years	1



3.4 Human Resource Development Strategies

To effectively implement the Strategic Plan, recruitment of optimal human resource capacity will be given priority. During the implementation period of the Strategic Plan, the Federation plans to progressively bridge this staffing gap by recruiting 6 officers. In addition, the OWUF shall build capacity of staff.

3.5 Organizational structure

An organizational structure that takes into account lessons learnt so far, the strategy and mandate of the Federation has been developed. The structure will seek to ensure effective delegation and control of management processes. The Federation’s organizational structure is presented in the following organogram:

3.6 Strategy Implementation

The Federation shall provide the appropriate governance and policy direction and ensure the implementation responsibilities of this Plan are cascaded to all levels. The Federation will develop appropriate coordination mechanisms to ensure effective collaboration with all relevant stakeholders towards achieving a clean environment.

3.6.1 Strategy Implementation Responsibilities

In the pre-implementation stage, the Federation shall communicate the plan to all stakeholders, assign roles and responsibilities to different players, mobilize, allocate and utilize resources as identified in the plan. In addition, the Federation will align annual departmental and individual work plans to the corporate plan and budget, put in place an appropriate monitoring, evaluation and reporting framework and strengthen staff capacity to deliver on the mandate.

During Implementation, the Board will provide strategic leadership, be responsible for policy formulation and play an oversight role in the implementation, monitoring and evaluation of the implementation of the Strategic Plan. The Chief Executive Officer will ensure the overall coordination, implementation, monitoring, and evaluation of the Strategic Plan. The Heads of Departments will be responsible for the day-to-day operationalization of the Plan so as to ensure that the planned activities are implemented.

3.6.2 Financial Implication

The Federation has identified activities that will be undertaken to realize the various programmes identified in this Strategic Plan. Resources shall be allocated for the activities through the Programme-Based Budgeting (PBB) which has been adopted by the Federation as required by the Public Financial Management Act.

Table 6.1 indicates the resources required for implementing activities under the strategic objectives that the Federation has identified. The projected resource requirements for implementation of the Federation’s strategic plan 2025/6-2030 is 45.5 Million **Birr**.

CHAPTER FOUR: OWUF STRATEGIC ISSUES, OBJECTIVES, ACTION

4.0 Overview

This chapter provides the strategic intent of OWUF which includes, Key Results Areas, Strategic Objectives and Strategies.

4.1 Key Result Areas (KRAs)

The Federation has identified three (3) Key Result Areas (KRAs) in which implementation will be carried out, performance measured and results communicated or reported. These Key Result Areas have been carefully identified to cover the entire range of programmes implemented by the Federation and provide the areas along which reporting will be carried out. From the emerging issues identified, strategic objectives to be achieved in the planning period have been developed and are to be guided by the Vision, Mission, Core Values and mandate of OWUF: -

KRA 1: Federation Capacity Development

KRA 2: Members Engagement and Development

KRA 3: Communication and Advocacy

KRA 1: Federational Capacity Development

Strategic Objective:

To enhance the capacity of the Federation for effective service delivery to members.

The Strategic Issues:-

- a. Inadequate No. of Staff
- b. Limited Financial resources
- c. Weak Governance framework
- d. Lack of Monitoring and Evaluation framework
- e. Diversification of revenue streams
- f. Inadequate Administration, Training and Office space
- g. Lack of enterprise risk management framework
- h. Inadequate ICT infrastructure and software.

KRA 2: Members Engagement and Development

Strategic Objective

To support member organizations and build their capacity for provision of services.

Strategic issue:-

Limited participation of members in the Federation programs, full time work and attendance of meetings.

KRA 3: Communication and Advocacy

Strategic Objective

To strengthen corporate communication

Strategic Issues:-

- a. Limited Awareness on role of the Federation.
- b. Limited awareness on member roles
- c. Multiple levies and taxes

- d. Limited Public consultation on regulation, standards and guidelines.
- e. Political interferences.

4.2 Strategic Objectives of the Strategic Plan

Table 4. 1: Strategic objectives

Strategic issue	Key Result Area	Strategies
1. Organizational Capacity Development		
To enhance capacity of OWUFs for effective delivery of service to members	Institutional capacity building	- Enhance Infrastructural development - Enhance Executive Committee Board oversight role - Strengthen Resource mobilization - Reduction of risk exposure in operations of the Federation - Leverage ICT in all operations - Strengthen monitoring, evaluation and reporting on projects - Attract & retain competitive staff - Build capacity for the Federation's staff
2. Member Engagement and Development		
To support member organizations and develop their capacity for provision of services	Enhance Linkages and collaboration	- Enhance recruitment of new members - Enhance member benchmarking programs - Promote development of technical guidelines for materials and services - Capacity building for member organizations - Strengthen linkages and collaboration
3. Communication and Advocacy		
To raise the OWUF's profile for advancement of members' interests	Improve OWUF brand and image	- Improve Visibility and corporate image - Enhance member events - Promote Policy and Legal Advocacy. - Promote Representation in Associated Bodies

A clear implementation framework, adequate financing and investment in technology, infrastructure and human resources is required to achieve the set objectives:

CHAPTER FIVE: MONITORING, EVALUATION, REPORTING AND RISK ANALYSIS

5.0 Overview

This chapter is an analysis how the implementation of this Strategic Plan will be monitored, how reporting will be done and the likelihood of risks that hinder achievement of OWUF mandate. KPIs have been carefully identified and the monitoring system will identify how data will be collected, indicators of performance and forums for reporting. The results of analysis shall be used to evaluate progress against each strategic goal and objective,

It including: -

- f) Key Stakeholders engagement level
- g) The performance and effectiveness of the strategy implementation by objectives;
- h) The effectiveness of actions taken to capitalize on emerging opportunities;
- i) Level of knowledge and innovation to the WSPs
- j) Results of resource mobilization efforts

The purpose of this M&E is to strengthen awareness and interest in monitoring of activities and programs of OWUF. It clarifies what M&E entails and the levels of activities, tools, methods, and approaches. A framework for data collection in the monitoring process is also included.

5.1 Monitoring of Activities

Monitoring activities will involve collection and analysis of financial and non- financial data and information on a continuous basis and reporting on weekly (Financial); monthly; quarterly intervals to the CEO. The Human Resources individual should compile progress reports for discussion by the CEO periodically as agreed. Monitoring will help determine activities set for implementation are on track and to establish if there are needs for adjustment or other intervention measures. The staff will evaluate the Strategic Plan at the end of either 6 months (budgetary); or every financial year to review the level of implementation and make appropriate adjustments for any deviations as needs arises from the dynamic global environment. The following guiding principles are applied when making the monitoring and evaluation:

- a) This Strategic Plan is based upon a Results Framework hence a need for a monitoring and evaluation (M&E) system or framework that provides timely and accurate data that enables OWUF to manage for results expected.
- b) In this Strategic Plan the results have been identified, performance indicators with specific measurable targets, objectives. The staff will be responsible for continually collecting data for identified performance indicators, the process as well as timelines and

develop regular reports which serve to inform decision making, adjustment of activities or fine-tune in the implementation.

c) Monitoring and evaluation will be done at three levels; - Operational/functional Institutional level who will respond to the Board: At an individual performance level where individuals will be monitored against targets set for each individual. To effectively monitor the implementation of strategies, activities and programs within the Strategic Plan period, a participatory monitoring and evaluation approach will be applied.

5.2 Levels of Monitoring

a) International/Global Level: - This will be done through peer review engagement and collaboration with other regional Federations and will improve on OWUF's performance in areas of interest and adequacy of skills, knowledge and ability to achieve the target sets.

b) Institutional/Board Level: - Monitoring of Corporate in the Strategic Plan will be done during Executive for Committee Meetings for specific areas as need arises

c) Individual performance Level: - Targets will be agreed upon between the Chief Executive Officer and staff concerned. This will be part of the institutional performance appraisal system. This system will be linked to performance targets. Performance appraisal will be carried out twice a year. An important role of performance appraisal system is to identify staff training and development needs. This is in addition to the reward aspects of performance appraisal. Weekly departmental meetings will be held to monitor the implementation of the individual desk plans.

5.3 Evaluation Indicators and Tools

Annual strategic review forums will be held to evaluate the impact of operational plans at both desk level and at Strategic level (Board Level). Some of the indicators of performance includes: - Increased revenue/resources; increased membership; Timely production of reports; attraction and retention of high qualified personnel;

5.4 Strategic Control Mechanism of Reporting

Quarterly progress reports for presentation and discussions at forums chaired by the CEO to fast track the implementation process and provide necessary interventions and guidance will be done: A Mid- term review of the Strategic Plan will be undertaken and appropriate amendments made at a time set and agreed by all

5.5 Benchmarking

OWUF will identify a relevant institution nationally, internationally and it will make systematic comparisons with the institutions operating under the same legal framework; this will give indicators of operational processes and systems: The aim is to determine areas where improvements can be made. Three types of benchmarking will be done internally, nationally and globally.

a) Internal benchmarking:

This will be done by comparing results from different desks with reference to timeliness, customer satisfaction and level of achievement of the assignment. This will make it possible to monitor high or low performances by individual at appraisal time. The benchmarking will form a basis for assessing performance of individuals for improvements.

b) National Benchmarking:

This will be done in comparing OWUF services delivery with others Federations drawing legal and regulatory framework and offering similar services.

c) Global Benchmarking:

This will be done to compare OWUF services delivery performance with global institutions. Benchmarking will benefit OWUF in terms participating and contributing to best practices. This compares the adequacy of the OWUF services, standards and the environment under which OWUF operate and hence improve on both internal and external environment for her members.

5.6 Risk Analysis

OWUF will develop a risk register for her operation; then employ adequate capacity to optimally implement the identified risks to the objectives and provide mitigation measures against those risks. Risks are either external or internal: The following risks are identified in table 5.1

Table 5. 1: Risk Analysis

Type	Risk factor	Impact	Mitigation
Operational	- Institutional Framework and regulations sets - Compliance with regulations of the broader sector - Visibility of OWUF: reputation, flexibility, image of a related Services	High	- Continuously improve staff capacity to attract and retain talents - Rebranding - Create awareness & promote OWUF services and benefits among members - Research & Development activities - Collaboration with significant partners - Increase visibility internationally
Social Risks	- Safety and security of assets, contents and personnel	Medium	- OWUF will continue to monitor through Collaboration with security through established advisory channels

Economic	- Financial Sustainability - Heavy reliance on Members subscriptions for Funding	High	- OWUF will seek partnership for source of funds to bridge the funding gaps - OWUF will seek partners for Development of:” Resource Centre” which will be a financial resource base
Information Technology	- Security of data - Cost of ICT	- High	- OWUF will continuously keep abreast and adapt with the changes in technology
Compliance Risks	- Water Sector constantly changing	- Low	- OWUF will monitor all affects its regulatory and policies that can adversely performance - and act - accordingly
Political Risks	- Political unrest, disruptions to operations - Government - /manifesto – BETA	- Medium	- OWUF will hedge with insurance cover to mitigate against the uncertainty of assets damage. - OWUF will adjust accordingly to meet members demands and expectations

CHAPTER SIX: RESOURCES MOBILIZATION

6.0 Overview

Resources mobilization is a significant element in development of a strategic plan and it is of great concern in this Strategic Plan period 2025/6-2030. Revenue funding for services and capital funding for developments and recurrent expenditure are likely to change. OWUF have put in place strategies to search for diverse funding streams therefore increasingly important, as it calls for active fundraising and income generation strategies.

Member's subscriptions and funding by partners both externally and internally will continue to be a major means which OWUF will use to achieve its mandate: There has been a tremendous success in attracting external funds and other resources from partners and other organizations; so OWUF will continue to engage with traditional supporters while seeking new partnership. These sources will remain an important target for achieving some of the activities of OWUF.

6.1 Financial Resource Projection

OWUF will be able to meet its mandate by optimizing and allocating resources to the right initiatives: Of importance will be Financial Resources as all other resources will require financing.

6.2 Projected Sources of Finance

Successful implementation of this Strategic Plan will require financial resource. OWUF will strengthen the existing revenue base and explore new sources of revenue. Several strategies will be deployed to mobilize additional funds for implementation of the programmes outlined in this Strategic Plan.

These will include: -

- a) Intensifying Members contribution:
- b) Intensifying marketing of programmes and services.
- c) Identifying new revenue streams.
- d) Strengthening of linkages with key partners
- e) Developing of new valued partnership
- f) Developing of the Resources Centre projected to bring income once completed

6.2.1 Members Subscription

Although the ultimate goal is self-sustainability, it should be acknowledged that the Federation largely depends on revenue generated from Member subscriptions. OWUF will intensify recruitment of membership to boost this revenue base.

6.2.2 Development Partners Support

OWUF recognizes the need to network with others in its noble role of advocating, building capacity and representing WSPs for efficiency in providing water and sanitation service

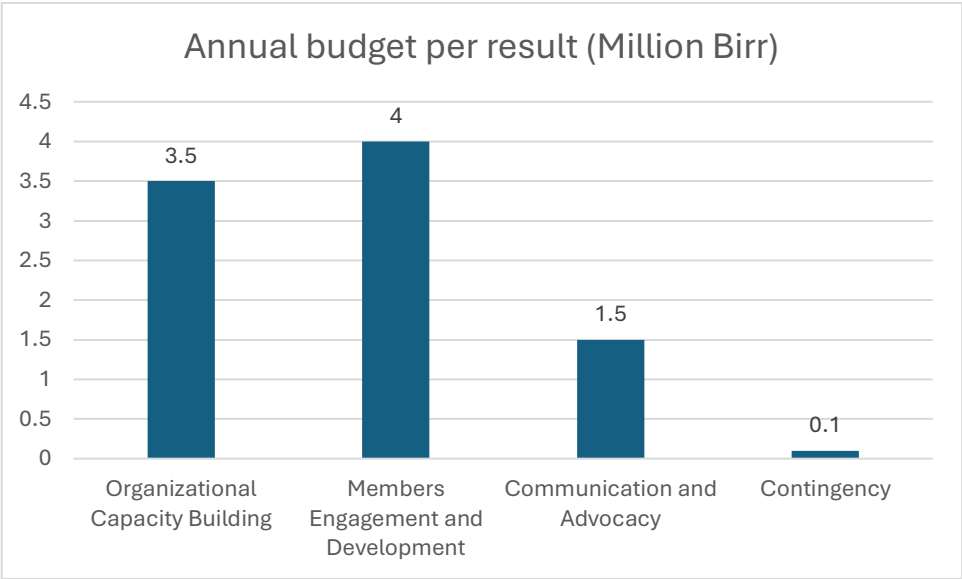
delivery. OWUF values the contribution of stakeholders and other development partners such as WWX, VEI, etc.

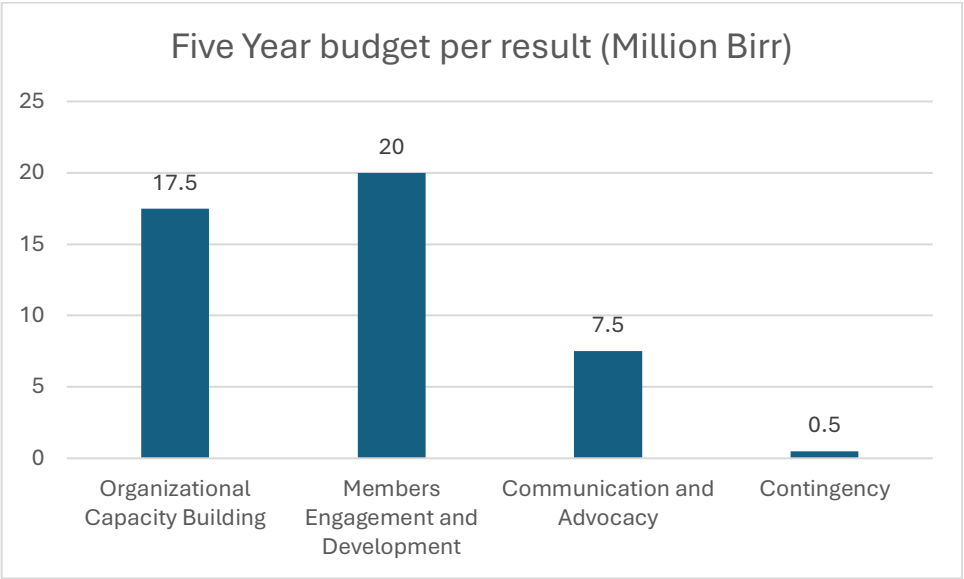
OWUF will strengthen and pursue resources from partners by increasing new partnership. The land had been acquired for office building in the last years programme. In this SP the Federation seeks funding to develop a resource center as a source of revenue base.

6.3 Projected Financial Resource requirements

Table 6. 1: Projected Financial Resource requirements 2025/6-2030

No,	Strategic Result Area	Resource Requirements in (Million Birr)					Total Birr
		2026	2027	2028	2029	2030	
1	Organizational Capacity Building	3.5	3.5	3.5	3.5	3.5	17.5
2	Members Engagement and Development	4	4	4	4	4	20
3	Communication and Advocacy	1.5	1.5	1.5	1.5	1.5	7.5
4	Contingency	0.1	0.1	0.1	0.1	0.1	0.5
	Total Birr in million	9.1	9.1	9.1	9.1	9.1	45.5





6.4 Financial Resource Expected

Table 6. 2: Expected Resource Inflows for 2025/6-2030

No	Utility level		Each Annual contribution	Total contribution per year (Million)	2026	2027	2028	2039	2030
1	Especial 1 st WSSE	3	300,000	0.9	0.9	0.9	0.9	0.9	0.9
2	1 st WSSE	11	200,000	2.2	2.2	2.2	2.2	2.2	2.2
3	2 nd WSSE	25	150,000	3.75	3.75	3.75	3.75	3.75	3.75
4	3 rd WSSE	54	20,000	1.08	1.08	1.08	1.08	1.08	1.08
5	4 th WSSE	90	10,000	0.9	0.9	0.9	0.9	0.9	0.9
6	5 th WSSE	54	5,000	0.27	0.27	0.27	0.27	0.27	0.27
Total contribution				9.1	9.1	9.1	9.1	9.1	9.1

As shown in Table above the total amount of financial resources expected to be mobilized by the Federation over the Strategic Plan period per annual is 9.1 Million Birr where as for the 5 years, the budget plan is 45.5 Million Birr to be collected from members.

7. CONCLUSION

The Oromia Water Utilities Federation (OWUF) Strategic Plan 2026–2030 provides a clear and coherent roadmap for strengthening the performance, sustainability, and resilience of water utilities across Oromia. Grounded in its legal mandate under Proclamation No. 228/2020 and aligned with national, regional, and global frameworks—including Ethiopia’s Water Sector Strategy, SDG 6, and Africa Agenda 2063—the Plan positions OWUF as a central enabler of sector transformation through coordination, advocacy, and capacity development.

The Strategic Plan responds directly to the evolving challenges facing water service providers, including financial sustainability constraints, non-revenue water, infrastructure gaps, institutional capacity limitations, climate change impacts, and growing service demand driven by urbanization. Through a robust situational analysis and stakeholder engagement process, OWUF has identified priority interventions structured around three Key Result Areas: Federational Capacity Development, Members Engagement and Development, and Communication and Advocacy. These KRAs collectively aim to strengthen the Federation’s institutional effectiveness while empowering member utilities to deliver reliable, equitable, and cost-recoverable water and sanitation services.

Implementation of the Plan emphasizes practical, results-oriented actions, including enhanced governance and staffing, diversified resource mobilization, adoption of modern technologies such as GIS and SCADA, standardized utility practices, peer learning, and strengthened partnerships with government, development partners, financial institutions, and research bodies. The Plan also integrates cross-cutting priorities such as gender equality, climate resilience, environmental protection, and customer-focused service delivery, ensuring that sector growth contributes to public health, social equity, and long-term sustainability.

Ultimately, this Strategic Plan represents OWUF’s commitment to building strong, self-sustaining water utilities that can meet present and future demands while safeguarding water resources and public trust. Its successful implementation will depend on sustained collaboration among members, strong leadership, adequate financing, and continuous monitoring and learning. With these foundations in place, OWUF is well positioned to play a transformative role in advancing universal access to safe water and sanitation and improving the quality of life for communities across Oromia.